

PERFORMANCE AGREEMENT

2026/2027 FINANCIAL YEAR

Made and Entered into by and between

THE NKANGALA DISTRICT MUNICIPALITY

Herein represented by

SUPERVISOR POSITION: YENA KHUBONI

(Herein after referred to as the "**Employer")**

And

EMPLOYEE POSITION: MDUDUZI ANTHONY LUKHELE

(Herein and after referred to as the **"Employee"**)

For the period

01 July 2026 – 30 June 2027



Employee's Signature Supervisor' Signature PMS Official's Signature

WHEREBY IT IS AGREED AS FOLLOWS:

1. PURPOSE

1.1 Comply with the provisions of legislation, Policy, signed job description and the regulations pertaining to performance management.
1.2 Specify objectives and targets defined and agreed to with the employee and to communicate to the employee the employer's expectations of the employee's performance and accountabilities in alignment with the signed job description.
1.3 Specify accountabilities as set out in a performance plan, which forms an annexure to the performance agreement.
1.4 Monitor and measure performance against set targeted outputs.
1.5 Use the performance agreement as the basis for assessing whether the employee has met the performance expectations applicable to his/her job.
1.6 In the event of outstanding performance, to appropriately reward the employee, and.
1.7 Give effect to the employer's commitment to a performance-orientated relationship with its employee in attaining equitable and improved service delivery.

2. VALIDITY OF THE AGREEMENT

2.1 The agreement will be valid for the period **01/07/2026 to 30/06/2027**.
2.2 The content of the agreement to be revised (during the beginning of financial year or when the individuals job responsibilities are amended) for the abovementioned period to determine the applicability of the performance targets agreed upon, especially where changes are significant; and
2.3 If at any time during the validity of this agreement the work environment of the Employer (whether as a result of Council, Management decisions or otherwise), to the extent that the contents of this agreement are no longer appropriate, the contents will immediately be revised.

3. REPORTING REQUIREMENTS/LINE AND ASSESSMENT LINES

3.1 The Individual will:

- Timeously alert the Supervisor of any emerging factors that could preclude the achievement of any performance agreement undertaking that includes the proposed contingency measures to be taken,
- Establish and maintain appropriate internal controls and reporting systems in order to meet performance expectations; and
- Discuss and thereafter document (record any revision of targets as well as progress made towards the achievement of performance agreement measures) for future use.

3.2 In turn the Supervisor shall:

- Supervise all the activities undertaken by the Individual.
- Meet to provide feedback on performance and to identify areas for development at least four times a year.
- Create an enabling environment to facilitate effective performance by the Individual.
- Monitor, coach and ensure that Individual achieves the set targets.
- Work collaboratively to solve and generate solutions to problems within the unit that may negatively be impacting on the Individual's performance;
- Develop employees through the Performance Development Plan's (PDPs); and

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- Review and verify reports and POEs.

3.3 The Divisional Manager/ Manager and General Manager shall:

- Assist in resolving challenges that may occur.
- Ensure a common understanding of performance expectations.
- Constantly improve employee competencies and raise employees' eagerness to meet performance expectations; and
- Develop employees through Performance Development Plan's (PDPs).

NB: The General Managers, Managers, Divisional Managers, and Supervisors must facilitate and develop work plans with their subordinates, set Key Performance Indicators (KPIs), and sign Performance Agreements in line with the approved and signed Job Descriptions. The General Managers and Managers must review all performance agreements for all levels before the due date and sign them off. Unit heads reporting directly to the Office of the Municipal Manager must review the performance agreements for all levels in their respective units before the due date and sign them off.

4. PERFORMANCE ASSESSMENT FRAMEWORK

The Individual's performance will be assessed according to the information contained in the Job Description as set out in the Workplan's Key Performance Area and JOB SPECIFIC COMPETENCIES (JSC) framework in line with SDBIP of the Unit in accordance with the PMDS Policy.

4.1 The attached workplan outlines the Individual performance expectations i.e.:

- the standard to be met, what would indicate and the timeframe to be taken to achieve your targets (what, why and how it should be done);
- the resources/enabling conditions that is required to do what is expected; and
- the enabling condition (what can be done to ascertain your achievement) and identifying anything which may impact negative on your work performance.

4.2 The KPA will weigh 80% of the overall performance. The Individual KPAs-set out for this current financial year are as follows:

KPA	Key performance areas (KPA'S)	Weighting
1.	KPA 1: GOOD GOVERNANCE AND INSTITUTIONAL TRANSFORMATION	25%
2.	KPA 2: PERFORMANCE MANAGEMENT FRAMEWORK AND SYSTEMS	10%
3.	KPA 3: REPORTING	10%
4.	KPA 4: PERFORMANCE CONTRACTS AND WORKPLANS	30%
5.	KPA 5: PERFORMANCE MANAGEMENT AND EVALUATION	25%
TOTAL		**100%**

The list of tasks/ duties and responsibilities contained in this document is not necessarily exhaustive, and the Employer is entitled to instruct the Individual to carry out additional duties or responsibilities, which may fall reasonably within the ambit of the role profile, or in accordance with operational requirements.

NOTE: Weighting for ONE (1) KPI must not be above 20%
Weighting for all KPAs must total 100%
The number of KPA must consist of not less than five (5) and not more than seven (7).

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4.3 The Individual undertakes to focus and actively work towards the promotion and implementation of the KPAs within the framework of the Laws and Regulations governing Local Government. The specific duties/outputs required under each of the KPAs are outlined in the attached Workplan.

4.4 The JOB SPECIFIC COMPETENCIES (JSC) will weigh 20% of the overall performance of Individual. The JSCs relevant to the Individual's KPA's and work environment (Annexure A of the New Staff Regulation) are as follows:

JSC	Competency	Competency Definition	Level of Capability	Weighting % (total 100%)
Core Professional competencies				
1	Ethics and Professionalism	The ability to identify and deal with ethical issues and conflicts of interest.	3	20
2	Written Communication	The ability to communicate in writing as appropriate to specific audiences.	3	20
3	Attention to detail	Ability to scrutinise own work and that of others to ensure accuracy and compliance with the relevant municipal standards.	3	15
Functional Competencies				
4	Data processing & Analysis	Ability to process data and bring out about improvements in the way in which it is processed.	3	15
Personal Competencies				
5	Change readiness	The ability to innovative and challenge the status quo and ability to cope with change driven by others.	3	15
Management / leadership competencies				
6	Impact and influence	The ability to inspire a positive attitude in others and be able to influence others effectively.	3	15
TOTAL				**100%**

NOTE: Adherence to JSC is mandatory for all Individuals
Weighting for ONE JSC must not be below 15% and not more than 25%
Weighting for all JSCs must total 100 %
The number of JSCs must consist of not less than five (5) and not more than six (6).

5. CONDITIONS OF PERFORMANCE

The Employer will provide the Individual with the necessary resources to enable the Individual-to achieve the set indicators and guidance to perform in terms of this agreement. Resource requirements should be outlined in the Work plans of the Individual.

6. PERFORMANCE ASSESSMENT

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The assessment of an Individual will be based on his/her performance in relation to the KPAs and JSCs and performance indicators, as set out in this Performance Agreement and attached Workplan.

6.1 KPAs will be assessed by reviewing all KPIs in a 5-point rating scale tabled as follows:

Level	Terminology	Description	Assessment Score	Performance Bonus Ratios
5	Outstanding performance	Performance far exceeds the standard expected of a staff member at this level. The appraisal indicates that the staff member has achieved above fully effective results against all performance criteria and indicators as specified in the Performance Agreement and Performance Plan and maintained this in all areas of responsibility throughout the year. The appraisal indicates that the staff member has achieved above fully effective results against more than 100% of the performance criteria and indicators and fully achieved all others throughout the year. **(Should the municipality obtain clean audit, all employees who have the KPI and report on it shall be awarded a rating of 5).**	75-100	Maximum bonus allowed into. Regulations is between 10% and 14% of person`s inclusive annual remuneration package. The % are as follows: 75-76%=10% 77-78%=11% 79-80%=12% 81-84%=13% 85-100%=14%
4	Performance significantly above expectations	Performance is significantly higher than the standard expected in the job. The appraisal indicates that the staff member has achieved above fully effective results against more than half of the performance criteria and indicators and fully achieved all others throughout the year.	65-74	Maximum bonus allowed into. Regulations is between 5% and 9% of person`s inclusive annual remuneration package. The % are as follows: 65-66%=5% 67-68%=6% 69-70%=7% 71-72%=8% 73-74%=9%
3	Fully effective	Performance fully meets the standards expected in all areas of the job. The appraisal indicates that the staff member has fully achieved effective	51-64	No bonus

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Level	Terminology	Description	Assessment Score	Performance Bonus Ratios
		results against all significant performance criteria and indicators as specified in the Performance Agreement and Performance Plan. **All rollover projects, the policies KPIs, compliance KPIs, awareness campaigns/ workshop/ training must be scored 3. The official attendance registers must have the Municipal logo.**		
2	Not fully effective	Performance is below the standard required for the job in key areas. Performance meets some of the standards expected for the job. The review/assessment indicates that the staff member has achieved below fully effective results against **more than half the key performance criteria** and indicators as specified in the Performance Agreement and Performance Plan. **(Performance must at least be 51% and above)**	31-50	No bonus
1	Unacceptable performance	Performance does not meet the standard expected for the job. The review/ assessment indicates that the staff member has achieved below fully effective results against almost all of the performance criteria and indicators as specified in the Performance Agreement and Performance Plan. The staff member has failed to demonstrate the commitment or ability to bring performance up to the level expected in the job despite management efforts to encourage improvement. **All the KPIs or CCRs/JSCs which are not reported must be rated 1. KPIs with no means of verification (POE), including POEs that are not opening, and repeated CCRs/JSCs motivations from the previous financial year will be rated a 1.**	Less than 30	No bonus

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7. FEEDBACK

7.1 The one-on-one quarterly feedback session will be done by the supervisor after the end of each quarter WITHIN 30 days. The supervisor to submit the Acknowledgement-of Rating, the Development Area (if any were identified), Individual comments, Supervisor Comments and Head of Department Recommendations) attached hereto as Annexure (SCORECARD).

7.2 Annual Review Form will be based on the Supervisor's assessment of the Individual's performance in relation to the KPAs and JOB SPECIFICATION COMPETENCY (JSC) and standards outlined in this performance agreement and taking into account the Individual's self-assessment.

8. TIMETABLE AND RECORDS OF REVIEW DISCUSSIONS AND ANNUAL ASSESSMENT

The Individual must complete the Quarter Review before the due date. The due dates will be as follows:

Review Term	Term Description	Type of Review	Activities	Due date	Responsible Person
First Quarter	July to September	Informal reviews (one-one)	Reporting and uploading of POE	15 October	Employee
			Approval	30 October	Supervisor
(Midyear) Second Quarter	October to December	Formal review	Reporting and uploading of POE	15 January	Employee
			Approval	30 January	Supervisor
Third Quarter	January to March	Informal reviews (one-one)	Reporting and uploading of POE	15 April	Supervisor
			Approval	30 April	Supervisor
(2025/2026 Annual) Fourth Quarter	July to June	Formal review (Panel)	Reporting and uploading of POE	30 July	Employee
			Approval	30 August	Supervisor

NB: The staff member/ serving staff must conclude the performance agreement within 10 working day after his or her return from leave that is less than 3 months. He or she must attach the proof of leave (sick notes or leave report) on signed Performance agreement.

9. MANAGEMENT OF POOR PERFORMANCE OUTCOMES

The Supervisor will assist the employee in identifying developmental need to correct performance interventions together to address poor and non-performance at feedback sessions, or any time during each quarter of the performance cycle. Supervisor will provide records of such corrections and intervention,

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Managing of Unsatisfactory Performance. Should poor performance continue to persist Unit Manager and Head of Department should consider implementing PMDS.

A staff member who receives a performance rating below 3 in terms of the Five- Point Rating table in regulation 38(2) must-

(a) be assisted in developing his or her competencies through training, and supervision; and develop a revised personal development plan with his or her supervisor.

(2) The personal development plan must contain at least—

(a) a description of the behaviour and skills that require improvement;
(b) a description of the actions that will be undertaken to improve the identified behaviour and skills that require improvement;
(c) the deadlines for improvement;
(d) a schedule of meeting to assess improvements and provide feedback; and
(e) details of the potential consequences in the event that there is no improvement in performance.

(3) The meetings to assess improvements and to provide a feedback must be recorded in writing.
(4) The personal development plan to manage performance improvement must cover a maximum period of six months, at the end of which, a formal evaluation of performance must take place.

(5) The following alternatives must be considered in respect of a staff member whose performance has not improved to at least a performance that is fully effective:

(a) Continuation of the actions referred to in the personal development plan;
(b) alternative actions to improve performance;
(c) offering the staff member an alternative job within the municipality that is better suited to the staff member's behaviour and skills; or
(d) dismissal owing to incapacity in terms of the provisions of the Labour Relations Act.

(6) Poor work performance must be dealt with in in accordance with item 9 of Schedule 8 to the Labour Relations Act.

10. DISPUTE RESOLUTION

DISPUTE ABOUT PERFORMANCE AGREEMENT AND ASSESSMENT

10.1 Any dispute about performance objectives or targets must be mediated by the relevant head of department or directorate of the staff member to whom this function is delegated. If the dispute is not resolved to the staff member's satisfaction, the staff member may lodge a grievance in terms of the applicable procedures.

10.2 Any dispute relating to the conclusion of the performance agreement or an amendment to the performance agreement, must be referred to the head of the relevant department or directorate not later than five (5) days of lodging the grievance in terms of the applicable procedures.

10.3 A dispute contemplated in sub-regulation (2) must be resolved within one (1) month of receipt of the dispute by the head of the department, after-

(a) considering the representation from the staff member concerned and his or her supervisor; and
(b) consultation with the head of human resources.

10.4 A staff member who is not satisfied with the outcome of the procedure in sub- regulation (3), may lodge a dispute in terms of the dispute resolution mechanisms of the bargaining council.

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11. AMENDMENT OF AGREEMENT

Amendments to the agreement will be in writing and can only be affected after discussion and agreement by all parties in terms of this contract. The performance agreement to be adjusted in line with the mid-year assessment / budget adjustment. The target should not be less than the original unless it's a budget issues or there was non-achievement during mid-year review (challenges). No weight should be adjusted unless there is a new KPI or removal of KPI.

Amendments/ Adjustment of Performance Agreements to commence in the last week of March and be concluded and submitted to PME & PMDS by first week of April.

12. EVALUATION

Supervisor

- The evaluation of the performance of the staff member must be conducted by that member's supervisor or his or her delegate.
- The staff member's supervisor must keep a record of all assessment meetings.

The departmental performance moderation committees shall be constituted as follows:

a. Level 2
- The relevant heads of departments / acting HOD, who must act as chairpersons in the committees.
- The head of the department from another department.

b. Level 3
- The relevant heads of departments / acting HOD, who must act as chairpersons in the committees.
- all managers / acting managers directly accountable to the heads of departments

c. Level 4 -12
- The relevant heads of departments / acting HOD, who must act as chairpersons in the committees.
- all managers / acting managers directly accountable to the heads of departments and
- divisional manager responsible for that unit.
- Supervisor (if applicable)

d. Internal audit unit and PMS Unit
- The chairperson of the Audit and Performance Committee must conduct performance assessments for the Internal Audit Unit, Risk Management and OPME & PMDS Unit.

e. PMS Specialist must be a panel member for all levels to advise, guide, and provide support, including arrangements for secretariat services.

f. During departmental assessments, it is optional for an internal auditor to attend the departmental moderation committee and provide advice on audit matters.

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Municipal moderation committee consists of:

- The municipal manager/ acting Municipal manager, who must act as the chairperson of the committee;
- all heads of departments/acting HODs;
- head of municipal planning and organisational performance;
- head of the municipal internal audit;
- a senior human resource/ PMS Specialist functionary to guide, advise and provide support, including arrangements for secretariat services; and
- a performance specialist, where applicable

13. SIGNATURES OF PARTIES TO THE AGREEMENT

The contents of this agreement have been discussed by the following parties:

Employee's name and surname: **……**

Signature: Date

Supervisor's name and surname: **……..**

Signature: Date

AND

Head of Department: ……

Signature: Date

Performance Management Unit:

Signature: Date

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ANNEXURE A: PERFORMANCE PLAN – 2026/2027

NAME AND SURNAME	MDUDUZI ANTHONY LUKHELE
PERIOD	2026/2027 FINANCIAL YEAR
DEPARTMENT	OFFICE OF THE MUNICIPAL MANAGER – PMS DIVISION
POSITION	MONITORING AND EVALUATION OFFICER
LEVEL	5

KPI number	**Key Performance Indicators**	**Weight**	**Baseline 2025/26**	**2026/2027**					**POE**	**Total Budget allocated . R'000**
				Annual target	**1st Quarter Planned Target**	**2nd Quarter Planned Target**	**3rd Quarter Planned Target**	**4th Quarter Planned Target**		
KPA 1: GOOD GOVERNANCE AND INSTITUTIONAL TRANSFORMATION										
M_21	Attain clean audit opinion by 31 December 2026.	5	1 (Unqualified with matters)	1 (Clean audit)	N/A	1 (Clean audit)	N/A	N/A	AG's Audit Report	OPEX
2	Compile and sign the annual performance agreement for the 2026/2027 financial year and submit to OPME & PMDS unit by **30 July 2026**	5		1	1	N/A	N/A	N/A	Compliance certificate from OPME & PMDS Unit	OPEX
3	Number of self-assessment reports compiled and submitted to Supervisor per quarter.	5		4	1 (annual assessment)	1 (Q1 assessment)	1 (midyear assessment)	1 (Q3 assessment)	Quarterly Compliance certificate from OPME & PMDS Unit	OPEX
4	Submission of 2025/2026 **Annual** performance evaluation on E-PMS by **29 August 2026**	5		1 (annual assessment)	1 (annual assessment)	N/A	N/A	N/A	Compliance certificate from OPME & PMDS Unit	OPEX

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KPI number	Key Performance Indicators	Weight	Baseline 2025/26	2026/2027					POE	Total Budget allocated . R'000
				Annual target	1st Quarter Planned Target	2nd Quarter Planned Target	3rd Quarter Planned Target	4th Quarter Planned Target		
5	Percentage of leave requests captured on the system within the prescribed timeframes, in accordance with the Leave Management Policy, by 30 June 2027	5		100%	100%	100%	100%	100%	Compliance certificate from Corporate Services	OPEX
KPA 2: PERFORMANCE MANAGEMENT FRAMEWORK AND SYSTEMS										
PMS/D/1	Number of Performance process plan for 2026/2027 Financial year developed and draft submitted to supervisor by 31 May 2027	5	New	1	N/A	N/A	N/A	1	Draft PMS process plan and Proof of submission	OPEX
PMS/D/2	Number of 2026/2027 adjusted SDBIP Compiled, and draft submitted to Supervisor by 25 January 2027.	5	New	1	N/A	N/A	1	N/A	Draft 2026/2027 Adjusted SDBIP and proof of submission	OPEX
KPA 3: REPORTING										
PMS/D/3	Monitoring & Evaluation of the Annual Individual Performance assessment process for 2024-2025 assessment period (Level 2 -12) by 31 March 2027	5	100%	100%	N/A	N/A	N/A	N/A	Attendance register, M&E Report	OPEX
PMS/D/4	Number of Quarterly Institutional Performance analysed and Evaluated on OPMS within 5 days after closing date	5	New	4	1	1	1	1	Audit Trail on OPMS	OPEX
KPA 4: PERFORMANCE CONTRACTS AND WORKPLANS										
PMS/D/5	Number of 2026/2027 adjusted performance agreements for senior managers developed and drafts submitted to PMS Coordinator	15	New	6	n/a	n/a	6	n/a	Proof of submission (email)	OPEX
PMS/D/6	Number of 2027/2028 performance agreements for senior managers	15	New	6	n/a	n/a	n/a	6	Proof of submission (email)	OPEX

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KPI number	Key Performance Indicators	Weight	Baseline 2025/26	2026/2027					POE	Total Budget allocated . R'000
				Annual target	1st Quarter Planned Target	2nd Quarter Planned Target	3rd Quarter Planned Target	4th Quarter Planned Target		
	developed and drafts submitted to PMS Coordinator within 5 days after the approval of 2027/2028 SDBIP									
KPA 5: PERFORMANCE MANAGEMENT AND EVALUATION										
PMS/D/7	% maintenance of recordkeeping of all documents/file for the OPME & PMDS unit by 30 June 2027.	5	New	100%	100%	100%	100%	100%	Signed report indicating all PMS related documents filed against the number of documents/files which were required to be filed	OPEX
PMS/D/8	% updating of relevant reporting templates for the OPME & PMDS unit by June 2027.	5	New	100%	100%	100%	100%	100%	Signed report indicating the number of templates updated against the number of templates required to be updated.	OPEX
PMS/D/9	% of KPIs and project analysed and evaluated in line with POE Files submitted by all department per quarter.	5	New	100%	100%	100%	100%	100%	Completion certificate confirming verified POE files and Quarterly Institutional Reports	OPEX
PMS/D/10	% consolidation of PMS related reports received from various departments within the District Municipality as and when required per quarter	5	New	100%	100%	100%	100%	100%	Signed report indicating the number of PMS reports consolidated against the number of reports which	OPEX

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KPI number	Key Performance Indicators	Weight	Baseline 2025/26	2026/2027					POE	Total Budget allocated . R'000
				Annual target	1st Quarter Planned Target	2nd Quarter Planned Target	3rd Quarter Planned Target	4th Quarter Planned Target		
									were required to be consolidated	
PMS/D/11	Number of quarterly mainstreaming (GEYODA) reports facilitated and developed.	5	New	4	1	1	1	1	Signed Quarterly GEYODA reports	OPEX

I/We, the undersigned hereby certify that the above workplan is correct.

Employee Name & Surname: …….

Signature: Date

Supervisor Name& Surname: …….

Signature: Date

ANNEXURE B: PERSONAL DEVELOPMENT PLAN 2026/2027

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Skills performance gap (in order of priority)	Outcomes expected (measurable indicators, quantity, quality and time frames)	Suggested training and/or development activity	Suggested mode of delivery	Suggested time frame	Work opportunity created to practice skills/ development area	Support person
N/A						

ANNEXURE C: DISCLOSURE OF INTEREST FORM 2026/2027

Name of Business	Registration (CK) Number	% Owned

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N/A		

Other Interests:

I hereby certify that the above information is complete and correct to the best of my knowledge.

_____ _____

Signatures **Date**



_____ _____ _____

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